INTERNAL — RESTRICTED DISTRIBUTION

RETAIL BANKING CREDIT POLICY AND LOAN PRODUCT MATRIX

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Classification: Internal Policy Reference — Suitable for Ingestion by Automated Underwriting / RAG Systems

SECTION 1 — GLOBAL RETAIL CREDIT POLICY & RISK GUARDRAILS

1.1 Objective & Scope

This document establishes the binding underwriting boundary conditions under which the Bank sanctions retail asset financing across all consumer lending verticals, including two-wheeler and auto loans, consumer durables financing, and secured/unsecured personal loans. This policy applies to all retail lending desks, digital loan origination systems (LOS), branch-level credit officers, and any automated advisory or recommendation agent acting on behalf of the Bank or its lending partners.

The policy is binding in nature. No branch, digital channel, co-lending partner, or automated decisioning system may sanction, recommend, or advise a retail asset transaction that violates the thresholds defined in Sections 1.3 and 1.4 of this document, irrespective of the applicant's relationship tenure, collateral quality, or discretionary override requests, except where explicitly delegated to a Regional Credit Committee (RCC) under a documented exception memo bearing dual authorization.

All figures in this document are expressed in Indian Rupees (INR) unless stated otherwise. “L” or “Lakh” denotes INR 1,00,000. “Cr” denotes INR 1,00,00,000. “ROI” denotes Rate of Interest per annum. “EMI” denotes Equated Monthly Instalment. “CIBIL” denotes the TransUnion CIBIL credit score (range 300–900).

1.2 Profile & Credit Score Risk Tiers

Every retail applicant is algorithmically bucketed into one of four risk tiers at the point of inquiry, based on the most recent CIBIL score pull (validity window: 15 days). The assigned tier governs pricing, LTV ceilings, documentation intensity, and underwriting pathway (straight-through vs. manual) across every product in Section 2.

Tier	CIBIL Band	Classification	Underwriting Treatment
Tier 1	780 and above	Prime Plus	Straight-through processing (STP). Preferential ROI (up to 75 bps concession). Maximum LTV bands apply. Minimal document re-verification.
Tier 2	720 – 779	Prime	Standard policy rules apply. Standard ROI card rate. Full document checklist enforced.
Tier 3	650 – 719	Sub-Prime / Near-Prime	Mandatory manual underwriting by a Grade-II Credit Officer or above. Strict LTV and tenure caps (see Section 2). Additional bank statement scrutiny (minimum 6 months).
Tier 4	Below 650	High Risk	Automatic algorithmic rejection (Code ERR_CIBIL_BELOW_MIN). No manual override permitted below CIBIL 600 except for fully secured, 100% cash-margined facilities approved by RCC.

1.3 Debt-to-Income (DTI) & FOIR Ceilings

The Fixed Obligation to Income Ratio (FOIR) is the Bank's primary affordability control and is computed at the point of every fresh sanction, top-up, or restructuring request. FOIR is defined as:

FOIR (%) = [(Sum of Existing EMIs + Proposed EMI) ÷ Net Monthly Income] × 100

Net Monthly Income (NMI) is defined as gross monthly salary or averaged monthly business income (trailing 12 months for self-employed applicants) less statutory deductions (TDS, PF, professional tax), before discretionary savings or investment deductions.

The following hard ceilings apply and cannot be breached under any straight-through or manually underwritten pathway:

- Tier 1 (Prime Plus): Maximum permissible FOIR is 50% of Net Monthly Income, inclusive of the proposed EMI.
- Tier 2 (Prime): Maximum permissible FOIR is 45% of Net Monthly Income, inclusive of the proposed EMI.
- Tier 3 (Sub-Prime): Maximum permissible FOIR is 40% of Net Monthly Income, subject to additional RCC sign-off above 35%.
- Tier 4 (High Risk): Not applicable — applicant is rejected at the CIBIL gate (Section 1.2) prior to FOIR evaluation.

Where an applicant's computed FOIR exceeds the tier ceiling even by a marginal amount (e.g., 45.1% for a Tier 2 applicant), the system must reject the proposed EMI amount outright and may only present the applicant with a lower loan quantum or extended tenure that brings the FOIR within the ceiling. No rounding-down exception is permitted.

1.4 Revenue & Liquidity Buffer Clause

The Bank mandates an "Emergency Buffer Rule" as a secondary, independent safeguard that operates irrespective of FOIR compliance. This rule protects the applicant's post-transaction liquidity position and is a non-negotiable condition precedent to disbursement for any leveraged purchase (loan-financed) as well as any direct, non-leveraged purchase where the Bank has visibility into the applicant's account balances (e.g., via account aggregator consent, linked savings account, or self-declared bank statements).

Emergency Buffer Rule: Following completion of the transaction (down payment, margin money, or full cash outlay), the applicant must retain verifiable liquid cash reserves (savings account balance, liquid mutual funds, or fixed deposits with premature withdrawal facility) equal to at least the **higher of (a) 3 months' verifiable Net Monthly Income, or (b) INR 1.5 Lakh.**

Illustrative computation: An applicant with a Net Monthly Income of INR 80,000 has a 3-month buffer requirement of INR 2,40,000, which exceeds the INR 1.5 Lakh floor — therefore INR 2,40,000 is the binding buffer. An applicant with a Net Monthly Income of INR 35,000 has a 3-month requirement of INR 1,05,000, which is below the INR 1.5 Lakh floor — therefore INR 1,50,000 is the binding buffer.

If the post-transaction projected savings balance falls below the applicable buffer threshold, the transaction must be programmatically flagged as "High Profile Attrition Risk" (HPAR) and routed for manual affordability review, irrespective of an otherwise passing FOIR. A HPAR flag does not constitute an automatic rejection but suspends straight-through disbursal pending human review and, where applicable, applicant re-counselling on liquidity impact.

SECTION 2 — PRODUCT CATALOG & FINANCING REQUIREMENTS

The following subsections define eligibility, pricing, and structural terms for each retail asset financing product currently active in the Bank's catalog. All products remain subject to the global guardrails defined in Section 1, which take precedence over product-level parameters in the event of conflict.

2.1 Two-Wheeler & Auto Loans — Product Code AUT-01

Parameter	Policy Value
Target Assets	Commuter and premium two-wheelers, superbikes, new and pre-owned personal passenger cars (petrol, diesel, CNG, EV).
Minimum CIBIL Score	680 (Tier 3 floor). Applicants below 680 are routed to Section 4 rejection code ERR_CIBIL_BELOW_MIN.
Maximum LTV — Tier 1	Up to 95% of Ex-Showroom price (on-road price financing capped separately at 90%).
Maximum LTV — Tier 2	Up to 85% of Ex-Showroom price.
Maximum LTV — Tier 3	Up to 75% of Ex-Showroom price, with mandatory 25% margin money verified via bank statement.
Baseline ROI	9.50% per annum, floating, pegged to Repo Rate + spread of 410 bps for Tier 1; spreads widen by 50–150 bps for Tier 2 and Tier 3 respectively.
Permitted Tenures	12 to 60 months, in multiples of 6.
Special Clause	Any vehicle purchase with an Ex-Showroom price exceeding INR 2 Lakh requires mandatory verification of 2 years of consistent, continuous income history (salary slips / ITRs) prior to sanction, regardless of CIBIL tier.

2.2 Consumer Durables Financing — Product Code DUR-02

Parameter	Policy Value
Target Assets	Laptops, smartphones, tablets, home appliances (refrigerators, air conditioners, washing machines), and other electronic consumer durables sold through empanelled merchant partners.
Minimum CIBIL Score	700 (Tier 2 floor). Tier 3 applicants are eligible only under the No-Cost EMI construct with merchant-funded subvention.
Maximum LTV ≤ INR 1 Lakh	Up to 100% financing (zero down payment) for ticket sizes at or below INR 1,00,000.
Maximum LTV > INR 1 Lakh	Capped at 80% of invoice value; minimum 20% down payment mandatory beyond the INR 1 Lakh threshold.
Baseline ROI	12.00% per annum on standard EMI plans; 0% (No-Cost EMI) where the processing cost is subsidized by the merchant partner and disclosed transparently to the applicant.
Permitted Tenures	3 to 24 months.

2.3 Secured & Unsecured Personal Loans — Product Code PER-03

Parameter	Policy Value
Target Assets	General-purpose utility financing, medical emergencies, travel, education-adjacent expenses, and unclassified retail asset purchases not covered under AUT-01 or DUR-02.
Minimum CIBIL Score	720 (Tier 2 floor). No Tier 3 or Tier 4 access to unsecured personal loans under any circumstance.
Loan Quantum Cap	Not LTV-based. Capped at the lower of 10× Net Monthly Income or INR 15,00,000, whichever is lower.

Parameter	Policy Value
Baseline ROI	13.50% per annum for Tier 1 applicants, scaling up to 18.00% per annum for Tier 2 applicants, based on internal risk-based-pricing (RBP) score.
Permitted Tenures	12 to 48 months.
Secured Variant	Where the applicant offers a lien on fixed deposits or approved securities, ROI is discounted by 200–300 bps and the CIBIL floor is relaxed to 700, subject to RCC approval.

SECTION 3 — CREDIT SCORE DEGRADATION & PROFILE IMPACT GUIDELINES

3.1 Simultaneous Credit Inquiries

Every hard credit inquiry initiated by a lender (a "hard pull") is recorded on the applicant's CIBIL report and is visible to all future lenders for 24 months. Multiple hard pulls within a rolling 30-day window are algorithmically interpreted by CIBIL's scoring model as "credit hunger" and materially depress the score:

- 1–2 hard inquiries in 30 days: negligible to minor impact, typically 0–5 points.
- 3–4 hard inquiries in 30 days: moderate impact, typically 10–25 points, and may itself trigger Tier downgrade at the next pull.
- 5 or more hard inquiries in 30 days: severe impact, 25–45+ points, and independently flags the applicant for manual fraud/over-leveraging review under internal policy, irrespective of the resulting score.

Soft inquiries (self-checks, pre-approved offer checks, existing lender account reviews) do not affect the CIBIL score and are excluded from this computation.

3.2 Debt Utilization Ratio (DUR)

Debt Utilization Ratio measures the proportion of an applicant's revolving unsecured credit that is currently drawn down, and is computed as:

DUR (%) = (Total Outstanding Unsecured Revolving Debt ÷ Total Approved Credit Limit) × 100

A DUR below 30% is considered healthy and has minimal bearing on score. Breaching the 30% threshold aggressively degrades the borrower's profile: DUR between 30%–50% typically corresponds to a 10–20 point drag on score trajectory over the following reporting cycle, while sustained DUR above 50% can suppress score improvement entirely and independently triggers an internal "Revolving Over-Utilization" risk alert on the applicant's master credit file, which downstream underwriting systems must factor into manual review, even where the point-in-time CIBIL score nominally remains within a passing tier.

3.3 EMI Delinquency Velocity

Delinquency Class	Definition (Days Past Due)	Typical Score Impact
Minor Delinquency	1–30 DPD	40–80 points per occurrence
Moderate Delinquency	31–89 DPD	80–130 points per occurrence
Major Delinquency / NPA	90+ DPD (classified Non-Performing Asset)	130–220+ points per occurrence, with the account remaining a red flag on the credit report for up to 7 years

Each successive delinquency occurrence within a trailing 24-month window compounds the impact rather than resetting it; a second Major Delinquency event within 24 months of the first is treated by policy as an automatic, non-overridable Tier 4 reclassification regardless of the resulting numeric CIBIL score.

SECTION 4 — ALGORITHMIC ADVISORY SCHEMATIC & REJECTION CODES

This section defines the canonical rejection/alert code index that any automated AI agent, digital loan origination system, or advisory chatbot acting on behalf of the Bank must reference when declining, flagging, or counselling a retail credit applicant. Automated agents must not fabricate reasons outside this index and must surface the corresponding applicant-facing message verbatim or in a policy-compliant paraphrase.

Code	Trigger Condition	Required Output Message Instructions
ERR_CIBIL_BELOW_MIN	Applicant's CIBIL score is below the minimum threshold defined for the requested product (see Section 1.2 / Section 2).	Inform the applicant that their current credit score does not meet the minimum eligibility threshold for the requested product. Do not disclose exact internal tier bands. Recommend score-improvement guidance (timely repayments, lowering DUR) and invite reapplication after a minimum 90-day cooling period.
ERR_DTI_EXCEEDED	Computed FOIR/DTI exceeds the applicable tier ceiling defined in Section 1.3.	Inform the applicant that the requested EMI is not affordable relative to their current income and existing obligations. Offer a reduced loan quantum or extended tenure that brings FOIR within ceiling, where mathematically feasible. Do not offer to bypass the ceiling under any framing.
ERR_BUFFER_VIOLATION	Post-transaction projected liquid savings fall below the higher of 3 months' Net Monthly Income or INR 1.5 Lakh (Section 1.4).	Flag the transaction internally as High Profile Attrition Risk (HPAR) and route to manual review. Applicant-facing messaging should highlight the liquidity impact of the purchase and suggest a lower-ticket alternative or partial deferment, without disclosing internal HPAR flagging terminology.

Case Study 1 — High Income, High Existing EMI (FOIR Failure)

Applicant A holds a CIBIL score of 742 (Tier 2) and a Net Monthly Income of INR 1,50,000. Existing obligations include a home loan EMI of INR 55,000 and a car loan EMI of INR 12,000, totaling INR 67,000 (44.7% of NMI). Applicant A requests a Personal Loan (PER-03) with a proposed EMI of INR 15,000. Combined FOIR = (67,000 + 15,000) ÷ 1,50,000 = 54.7%, which breaches the Tier 2 ceiling of 45%. The system issues ERR_DTI_EXCEEDED and computes the maximum permissible additional EMI as (0.45 × 1,50,000) − 67,000 = INR 500, effectively signaling that no meaningful additional credit is serviceable at the requested tenure; the applicant is offered a longer tenure to reduce the proposed EMI or advised to close an existing obligation first.

Case Study 2 — Low CIBIL Straight Rejection

Applicant B applies for a Two-Wheeler Loan (AUT-01) against a commuter bike priced at INR 1,10,000, with a CIBIL score of 611. Since 611 falls below both the AUT-01 product floor of 680 and the Tier 4 threshold of 650, the system issues an immediate ERR_CIBIL_BELOW_MIN rejection without proceeding to FOIR or buffer computation. No manual override is available at this score band per Section 1.2, and the applicant is directed toward score-rebuilding guidance and a 90-day reapplication window.

Case Study 3 — Balanced Hybrid Finance (Approved)

Applicant C holds a CIBIL score of 795 (Tier 1), a Net Monthly Income of INR 1,00,000, no existing EMIs, and a savings balance of INR 4,20,000. Applicant C requests financing for a passenger car with an Ex-Showroom price of INR 8,00,000 at 90% LTV (proposed EMI approximately INR 14,200 over 60 months at 9.5% ROI, within AUT-01 terms). FOIR = 14,200 ÷ 1,00,000 = 14.2%, comfortably within the Tier 1 ceiling of 50%. Down payment required is 10% of Ex-Showroom (INR 80,000), leaving projected post-transaction savings of INR 3,40,000, which exceeds the buffer requirement of the higher of

INR 3,00,000 (3 × NMI) or INR 1,50,000. No rejection or HPAR flag is triggered; the loan is approved via straight-through processing under AUT-01 terms.

End of Document — RETAIL BANKING CREDIT POLICY AND LOAN PRODUCT MATRIX (v2026.2). This policy supersedes v2026.1 in full and is subject to quarterly review by the Retail Credit Risk & Underwriting Policy Group.